

Why corporate buyers are embracing the online revolution

Digital tools are revolutionising middle-market M&A.

Finding large volumes of relevant deals is easier than ever before thanks to a new generation of digital tools. These innovative solutions are making it possible for smaller companies to implement strategies such as programmatic M&A, which were once only available to large players.

The traditional approach to M&A relied on old-fashioned networking and endless “catch-up” meetings to maintain brand awareness and secure a pipeline of potential acquisitions. This approach has always worked much better for large corporations. Smaller corporate buyers either missed out on the best opportunities or had to devote disproportionate resources just to get a foot in the door.

This is changing fast and is even accelerating in the wake of the Covid-19 pandemic. M&A is no longer about who you know — it is about the tools you use. And, more important, those tools are now available to a much wider audience.

Leveraging matching algorithms, cloud services and secure communications, online platforms are introducing new levels of efficiency to the M&A process. That means deals move faster, more smoothly and are less expensive to complete. It also means they fail less often.

Brand pull

Amplifying your M&A brand online provides the best opportunity to bring your ambition, capital and skills to the table. This is one of the main reasons why companies are

embracing digital platforms to take their M&A to the next level.

There is an obvious network effect from such platforms that works to the benefit of everyone involved. Connecting with an international community of active dealmakers who are always on the lookout for the next deal maximises the chances of success for corporate M&A teams. It also reduces many of the costs, frictions and pain points that have hampered M&A in the past.

Whether looking to buy or sell an asset, access to a highly engaged network of brokers, investment firms and other corporate M&A teams ensures visibility for your M&A brand.

Companies can also showcase their leadership through such platforms. Dealsuite members can take part in sector meetings that draw on the largest M&A community in Europe, with more than 4,000 engaged M&A professionals.

Market intelligence

Active acquisition strategies are supported by market intelligence that allows M&A teams to spot industry trends, analyse and compare potential targets, and refine opportunities. Armed with clearly defined investment interests and criteria, companies can gain access to a large volume of relevant dealflow.

Teams are notified every time a deal comes to market that matches their criteria. This can include everything from sector and geography to more finely tuned screens that look at earnings,

growth and details about the size of stake on offer and type of transaction.

Matching algorithms guarantee that only the most relevant deals are placed in front of corporate buyers. This technology makes it easy to review opportunities and stay abreast of the market with minimal effort.

This is allowing M&A teams to become much more strategic about M&A, even at the SME level. Instead of throwing all their eggs into one basket with large, heroic acquisitions, companies are using these real-time analytic tools to identify smaller opportunities. This means they can acquire assets that are much more targeted, easier to integrate and immediately add value — and they can do so more often.

Agility is key in the modern M&A marketplace and accurate intelligence is essential in providing the confidence to move quickly on opportunities when they arise.

Communication

Of course, finding opportunities is only the first step. Open channels of communication are also vital to converting those potential opportunities into deals. This is where platforms such as Dealsuite.com come into their own, providing proprietary, exclusive contact about potential deals. Corporate M&A teams can enter into direct communication with the right people about relevant deals.

This also works in the opposite direction. Based on a company's listed M&A preferences, sellers and their advisers can reach out to

potential acquirers or investors with proposals directly.

A sophisticated M&A strategy will also involve divestitures and the ability to conduct direct market outreach to relevant professionals is a valuable resource. This can significantly reduce the time it takes to close a sale, minimising the cost and disruption of shedding non-core assets.

Execution

Once a deal is underway, getting it across the line efficiently is the priority. The best-in-class data

room from Admincontrol by Visma is the industry's most trusted resource for managing transactions. It is available to Dealsuite members, providing a user-friendly and secure platform for due diligence, document review and secure messaging.

"We recommend Admincontrol's data rooms to our clients because it is a highly secure data room," says Kristin Bratengen, director at Oaklins. "Both the administration and monitoring of the data room is

simple and it is also very easy to use for first time users."

Closing

One of the founding principles at Dealsuite was to make the M&A process more effective so that buyers and sellers can close more deals. As an active community founded by M&A professionals and advised by a board of industry specialists, the platform is continuously being developed with security at its core.

At Dealsuite, we are your trusted partner for the future.